

D559

Advanced Managerial Accounting

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A furniture maker with idle capacity receives a one-time order for 500 chairs at \$70 each; its normal price is \$110. Unit costs are materials \$30, labor \$15, variable overhead \$10, and allocated fixed overhead \$25. The customer is a hotel chain opening in Florida. Regular sales will not be affected. What is the effect on profit if it accepts?

- A. Profit rises \$35,000.
- B. Profit rises \$7,500.
- C. Profit falls \$20,000.
- D. Profit falls \$5,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

The same furniture maker, with idle capacity, has a variable cost of \$55 per chair and \$25 of allocated fixed overhead. What is the lowest price per chair it could accept on a special order without reducing profit?

- A. \$110
- B. \$80
- C. \$55
- D. \$30

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A company makes a part with variable cost of \$18 per unit and allocated fixed overhead of \$10 per unit, of which \$4 would be avoided if it stopped making the part. A supplier offers the part for \$24. Annual volume is 10,000 units. The supplier is ISO-certified and located overseas. What should the company do?

- A. Keep making it; it saves \$60,000 compared with buying.
- B. Buy it, because the supplier is ISO-certified.
- C. Buy it; \$24 is below the \$28 full cost, saving \$40,000.
- D. Keep making it; the relevant cost is \$22 vs. \$24, saving \$20,000 a year.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A plant has 2,000 machine hours a month. Product X earns \$40 of contribution margin per unit and uses 2 machine hours; Product Y earns \$30 and uses 1 machine hour. Demand for both is unlimited. The plant manager prefers X because its margin is higher. Which product should the plant make, and what total contribution margin results?

- A. Only X; \$40,000.
- B. Half the hours on each; \$50,000.
- C. Only Y; \$60,000.
- D. Only X; \$80,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

Product Z earns \$36 of contribution margin per unit and has the same contribution margin per machine hour, \$18, as Product W. How many machine hours does Z use per unit?

- A. 0.5
- B. 648
- C. 18
- D. 2

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A company has \$120,000 of machine setup costs and 400 setups a year. Product A needs 30 setups and Product B needs 10. The old system allocated setup costs by direct labor hours. Product A is the company's best seller. How much setup cost does ABC assign to Product A?

- A. \$90,000
- B. \$9,000
- C. \$3,000
- D. \$300

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

The standard is 3 pounds of resin per unit at \$4 per pound. The company made 1,000 units using 3,200 pounds bought and used at \$3.75 per pound. The resin supplier was acquired by a larger firm this year. What is the materials price variance?

- A. \$750 favorable
- B. \$800 unfavorable
- C. \$0
- D. \$800 favorable

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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8. [TRANSFER — reversed stem / different variable]

The standard is 3 pounds per unit at \$4 per pound. The company made 1,000 units using 3,200 pounds purchased at \$3.75 per pound. What is the materials quantity variance?

- A. \$200 unfavorable
- B. \$800 unfavorable
- C. \$750 unfavorable
- D. \$800 favorable

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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9.

Division S makes a component with a variable cost of \$40 and sells it to outside customers for \$65; it is at full capacity. Division B wants to buy the component internally. Both divisions report to a vice president in Chicago. What is the minimum transfer price S should accept?

- A. \$65
- B. Any price B proposes, since the company always gains either way.
- C. \$40
- D. \$52.50

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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10.

A company produced 10,000 units and sold 8,000. Fixed manufacturing overhead was \$150,000 (\$15 per unit). Variable costing income is \$200,000. The company's CFO just joined from a bank. What is absorption costing income?

- A. \$230,000
- B. \$170,000
- C. \$350,000
- D. \$200,000

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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11. [TRANSFER — reversed stem / different variable]

Absorption costing income is \$45,000 lower than variable costing income. Fixed overhead is \$9 per unit. What happened to inventory?

- A. It decreased by 5,000 units.
- B. It increased by 5,000 units.
- C. It cannot be known without the selling price.
- D. It decreased by 45,000 units.

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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12.

A hospital-supply distributor adds the error rate in warehouse order picking to its balanced scorecard. The company is headquartered in Memphis and has 600 employees. Which perspective does this measure belong to?

- A. Financial, because fewer errors always mean higher profit.
- B. Learning and growth.
- C. Internal business process.
- D. Customer.

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

A furniture maker with idle capacity receives a one-time order for 500 chairs at \$70 each; its normal price is \$110. Unit costs are materials \$30, labor \$15, variable overhead \$10, and allocated fixed overhead \$25. ~~The customer is a hotel chain opening in Florida.~~ Regular sales will not be affected. What is the effect on profit if it accepts?

Target word: profit effect **Decides:** Variable cost is \$55; fixed overhead is unchanged.

A	Dropped element	Counts revenue and drops the variable costs.
B	Correct	$(\$70 - \$55) \times 500 = \$7,500$.
C	Wrong stem number	Compares the order price with the normal price.
D	Adjacent category	Includes the allocated fixed overhead, which does not change.

2. Answer C Concept 1 • transfer

The same furniture maker, with idle capacity, has a variable cost of \$55 per chair and \$25 of allocated fixed overhead. What is the lowest price per chair it could accept on a special order without reducing profit?

Target word: price floor **Decides:** Only incremental cost must be covered.

A	Wrong stem number	That is the normal price from the earlier case.
B	Adjacent category	Includes allocated fixed overhead.
C	Correct	Any price above variable cost adds profit when capacity is idle.
D	Dropped element	Covers materials only.

3. Answer D Concept 2

A company makes a part with variable cost of \$18 per unit and allocated fixed overhead of \$10 per unit, of which \$4 would be avoided if it stopped making the part. A supplier offers the part for \$24. Annual volume is 10,000 units. ~~The supplier is ISO-certified and located overseas.~~ What should the company do?

Target word: make or buy **Decides:** Relevant cost to make = $\$18 + \$4 = \$22$.

A	Dropped element	Drops the \$4 of avoidable fixed cost.
B	Camouflage	Certification does not change the cost comparison.
C	Adjacent category	Includes \$6 of fixed overhead that will not go away.
D	Correct	$(\$24 - \$22) \times 10,000 = \$20,000$.

4. Answer C Concept 3

A plant has 2,000 machine hours a month. Product X earns \$40 of contribution margin per unit and uses 2 machine hours; Product Y earns \$30 and uses 1 machine hour. Demand for both is unlimited. ~~The plant manager prefers X because its margin is higher.~~ Which product should the plant make, and what total contribution margin results?

Target word: product mix under a constraint **Decides:** CM per hour: X \$20, Y \$30.

A	Confusion set	Ranks by margin per unit instead of per machine hour.
B	Adjacent category	Splitting capacity wastes hours on the weaker product.
C	Correct	2,000 hours $\times$ 1 unit per hour $\times$ \$30 = \$60,000.
D	Dropped element	Ignores that X uses 2 hours per unit.

5. Answer D Concept 3 • transfer

Product Z earns \$36 of contribution margin per unit and has the same contribution margin per machine hour, \$18, as Product W. How many machine hours does Z use per unit?

Target word: solve for hours per unit **Decides:** \$36 / \$18 per hour.

A	Confusion set	Divides \$18 by \$36.
B	Inverted operation	Multiplies instead of dividing.
C	Wrong stem number	That is the CM per hour.
D	Correct	\$36 / \$18 = 2 hours.

6. Answer B Concept 4

A company has \$120,000 of machine setup costs and 400 setups a year. Product A needs 30 setups and Product B needs 10. ~~The old system allocated setup costs by direct labor hours. Product A is the company's best seller.~~ How much setup cost does ABC assign to Product A?

Target word: ABC cost to A **Decides:** Rate = \$120,000 / 400 = \$300 per setup.

A	Adjacent category	Divides by A and B's 40 setups instead of all 400.
B	Correct	30 setups $\times$ \$300 = \$9,000.
C	Wrong stem number	Uses B's 10 setups.
D	Dropped element	Stops at the rate per setup.

7. Answer D Concept 5

The standard is 3 pounds of resin per unit at \$4 per pound. The company made 1,000 units using 3,200 pounds bought and used at \$3.75 per pound. ~~The resin supplier was acquired by a larger firm this year.~~ What is the materials price variance?

Target word: price variance **Decides:** (\$3.75 – \$4.00) $\times$ 3,200 actual pounds.

A	Adjacent category	Uses standard quantity (3,000) instead of actual quantity.
B	Inverted operation	A lower actual price is favorable.
C	Dropped element	Nets the price and quantity variances together.
D	Correct	Paying \$0.25 less on 3,200 pounds saves \$800.

8. Answer B Concept 5 • transfer

The standard is 3 pounds per unit at \$4 per pound. The company made 1,000 units using 3,200 pounds purchased at \$3.75 per pound. What is the materials quantity variance?

Target word: quantity variance **Decides:** $(3,200 - 3,000) \times \$4$ standard price.

A	Dropped element	Reports pounds, not dollars.
B	Correct	200 extra pounds $\times \$4 = \800 unfavorable.
C	Adjacent category	Prices the extra pounds at the actual price.
D	Inverted operation	Using more than standard is unfavorable.

9. Answer A Concept 6

Division S makes a component with a variable cost of \$40 and sells it to outside customers for \$65; it is at full capacity. Division B wants to buy the component internally. ~~Both divisions report to a vice president in Chicago.~~ What is the minimum transfer price S should accept?

Target word: minimum transfer price **Decides:** At capacity, each internal sale gives up \$25 of outside margin.

A	Correct	$\$40$ variable + $\$25$ lost contribution margin = $\$65$.
B	Absolute language	Below \$65 the company loses outside margin.
C	Dropped element	Drops the opportunity cost at full capacity.
D	Adjacent category	A negotiated midpoint, not the minimum S should accept.

10. Answer A Concept 7

A company produced 10,000 units and sold 8,000. Fixed manufacturing overhead was \$150,000 (\$15 per unit). Variable costing income is \$200,000. ~~The company's CFO just joined from a bank.~~ What is absorption costing income?

Target word: absorption income **Decides:** Inventory rose 2,000 units $\times \$15$.

A	Correct	$\$200,000 + 2,000 \times \15 deferred in inventory = $\$230,000$.
B	Inverted operation	Subtracts the deferred overhead.
C	Adjacent category	Adds all fixed overhead instead of the amount deferred.
D	Dropped element	Ignores the inventory change.

11. Answer A Concept 7 • transfer

Absorption costing income is \$45,000 lower than variable costing income. Fixed overhead is \$9 per unit. What happened to inventory?

Target word: solve for inventory change **Decides:** $\$45,000 / \9 ; absorption lower means inventory fell.

A	Correct	Prior-period overhead was released as inventory fell.
B	Inverted operation	Rising inventory makes absorption income higher.
C	Adjacent category	Price does not affect the costing difference.
D	Dropped element	Drops the per-unit overhead rate.

12. Answer C Concept 8

A hospital-supply distributor adds the error rate in warehouse order picking to its balanced scorecard. ~~The company is headquartered in Memphis and has 600 employees.~~ Which perspective does this measure belong to?

Target word: scorecard perspective **Decides:** It measures an internal operation's quality.

A	Absolute language	Financial measures are results like margin or ROI, not process error rates.
B	Confusion set	That perspective covers people, skills and systems.
C	Correct	Picking accuracy measures how well an internal process runs.
D	Adjacent category	Customers feel the result, but the measure is of the internal process.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	10	
Wrong stem number	A figure copied from the prompt that is not the answer.	4	
Adjacent category	The right idea in the wrong bucket.	11	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	5	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	3	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Special orders with idle capacity	With idle capacity, accept a one-time order if its price exceeds the incremental (variable) cost; allocated fixed costs are irrelevant.	Comparing the special price with full cost or the normal price.	Idle capacity, a discounted one-time order, and allocated fixed overhead.
2	Make or buy	Compare the purchase price with the avoidable cost of making: variable cost plus only the fixed costs that would disappear.	Including unavoidable allocated overhead, or ignoring avoidable fixed cost.	A supplier quote and fixed overhead split into avoidable and unavoidable.
3	Constrained resources	When one resource limits output, rank products by contribution margin per unit of that resource.	Favoring the product with the highest margin per unit.	Limited machine hours and products with different hours per unit.
4	Activity-based costing	Activity rate = activity cost pool / total driver volume; assign cost = rate × the product's driver use.	Using a volume base like labor hours, or dividing by only some products' drivers.	A cost pool, total driver count, and a product's driver count.
5	Materials price and quantity variances	Price variance = (actual price – standard price) × actual quantity; quantity variance = (actual quantity – standard quantity) × standard price.	Mixing up which quantity or price goes with which variance, or getting the sign wrong.	Standard and actual prices and quantities for materials.
6	Minimum transfer price	Minimum transfer price = variable cost + opportunity cost (the contribution margin lost on outside sales when at capacity).	Setting the floor at variable cost even when the division is at capacity.	A selling division at full capacity with outside customers.
7	Absorption vs. variable costing income	The difference equals the change in inventory units × fixed overhead per unit; when inventory rises, absorption income is higher.	Getting the direction wrong or using total fixed overhead.	Units produced differ from units sold.
8	Balanced scorecard perspectives	Financial, customer, internal business process, and learning and growth each hold distinct measures; process quality measures belong to internal business process.	Filing an operational quality measure under financial or customer.	A measure of how well an internal operation runs.

Course scope (public description): Advanced Managerial Accounting focuses on problem-solving for managerial accounting issues. This course prepares learners for the role of accountants in the planning and control of organizations. Learners also develop knowledge about how to use efficient and various analysis techniques for decision-making based on cost information and economic insight, such as how managerial accounting information supports the operational and strategic needs of an organization and how managers use accounting information for decision-making, planning, and controlling activities within an organization.